HSBC Global Investment Research

22 July 2026

Fuyao Glass Industry (3606 HK/600660 CH)

Buy/Buy: Weak auto beta priced in; recovery ahead

Equities
Auto Components

China

- Weak auto beta is largely priced in after YTD correction
- Fundamentals should improve in 2H26, with valuation remaining compelling
- Maintain Buy/Buy for A/H shares, with target prices cut to RMB83.30/HKD87.40, from RMB92.20/HKD91.20

The correction largely prices in the weak auto beta. The company's A/H shares have corrected 15%/17% YTD (vs. CSI300 -2% and HSCI -7%), primarily reflecting the weak beta of China's auto sector (6M26 domestic wholesales -6% YoY; Wind Auto Index -26% YTD). As the domestic auto market enters its seasonally stronger second half, we expect both auto demand and sector sentiment to improve.

Fundamentals should improve from hereon. Despite operating within a weak auto backdrop, the company continues to demonstrate defensive earnings characteristics through: 1) ongoing domestic ASP expansion (supported by higher glazing content from vehicle intelligence upgrades and a richer product mix); 2) further overseas market share gains amid overseas competitor contraction. Meanwhile, cost concerns from soda ash, shipping costs, and energy prices triggered by elevated oil prices in 1H26, should gradually stabilize going into 2H26. Furthermore, utilisation at the new Fuzhou and Anhui facilities should improve and the US Phase II value-added glass plants should ramp up, and likely support sequential gross margin improvement. Although 2Q26 earnings may still face FX-related pressure, we believe the main fundamental uncertainties have passed. A/H shares trade at 12x/11x 2027E P/E vs 22% 2027e earnings growth, and in our view the current valuation looks attractive.

Estimate revisions: We cut our earnings estimates by 16% for 2026 and 13% for 2027, mainly on lower revenue estimates due to the weak domestic auto sales, partly offset by Fuyao's ASP expansion and overseas market share gains. We introduce our 2028 forecasts in this report. Our 2026 estimates are behind Bloomberg consensus considering FX loss impact this year. Our 2027-28 earnings estimates are above Bloomberg by 3% on average, as we are more positive on its margin sustainability and its overseas expansion potential.

Maintain Buy ratings with lower target prices: We continue to use DCF to value Fuyao and cut our target prices, mainly due to lower earnings estimates and revised WACC assumptions (see page 4). Our new target prices of RMB83.30 (previously RMB92.20) for the A-shares and HKD87.40 (previously HKD91.20) for the H-shares imply c52% and c58% upside, respectively, and we maintain our Buy ratings on the A/H shares. See pages 6 for catalysts and downside risks.

H: MAINTAIN BUY

TARGET PRICE (HKD)	PREVIOUS TARGET (HKD)
87.40	91.20
SHARE PRICE (HKD)	UPSIDE/DOWNSIDE
55.45	+57.6%

(as of 20 Jul 2026)

A: MAINTAIN BUY

TARGET PRICE (CNY)	PREVIOUS TARGET (CNY)
83.30	92.20
SHARE PRICE (CNY)	UPSIDE/DOWNSIDE
54.94	+51.6%

(as of 20 Jul 2026)

MARKET DATA

BBG / RIC	3606 HK / 3606.HK
Market cap (HKDm / USDm)	161,157 / 20,553
Free float (H / A)	100% / 66%
3m ADTV (USDm) (H / A)	22 / 117

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	3.57	3.67	4.48	5.28
HSBC EPS (prev)	3.69	4.38	5.12	na
Change (%)	-3.2	-16.2	-12.5	na
Consensus EPS	3.66	3.95	4.63	5.26

Source: LSEG IBES, HSBC estimates

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Financials & valuation

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	45,787	49,492	56,459	65,559
EBITDA	13,152	14,695	17,196	19,555
Depreciation & amortisation	-3,077	-3,490	-3,780	-3,998
Operating profit/EBIT	10,075	11,205	13,416	15,557
Net interest	831	-11	304	669
PBT	11,162	11,473	13,999	16,504
HSBC PBT	11,162	11,473	13,999	16,504
Taxation	-1,845	-1,896	-2,314	-2,728
Net profit	9,321	9,581	11,689	13,781
HSBC net profit	9,321	9,581	11,689	13,781
Cash flow summary (CNYm)				
Cash flow from operations	12,055	11,708	13,161	14,398
Capex	-6,164	-6,731	-4,517	-4,261
Cash flow from investment	-6,099	-6,731	-4,517	-4,261
Dividends	-5,480	-5,639	-6,879	-8,110
Change in net debt	-1,012	503	-3,006	-3,257
FCF equity	5,931	4,977	8,644	10,136
Balance sheet summary (CNYm)				
Intangible fixed assets	1,953	3,127	3,443	3,492
Tangible fixed assets	27,004	29,072	29,492	29,705
Current assets	39,345	40,161	45,936	53,323
Cash & others	19,274	18,771	21,776	25,033
Total assets	70,062	74,169	80,773	88,536
Operating liabilities	21,231	21,400	23,199	25,295
Gross debt	11,279	11,279	11,279	11,279
Net debt	-7,995	-7,492	-10,497	-13,755
Shareholders' funds	37,556	41,499	46,309	51,979
Invested capital	27,798	32,188	33,896	36,192

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	16.7	8.1	14.1	16.1
EBITDA	20.5	11.7	17.0	13.7
Operating profit	23.0	11.2	19.7	16.0
PBT	24.1	2.8	22.0	17.9
HSBC EPS	24.1	2.8	22.0	17.9
Ratios (%)				
Revenue/IC (x)	1.7	1.7	1.7	1.9
ROIC	32.0	32.6	35.9	39.5
ROE	25.5	24.2	26.6	28.0
ROA	14.0	14.3	15.7	16.6
EBITDA margin	28.7	29.7	30.5	29.8
Operating profit margin	22.0	22.6	23.8	23.7
EBITDA/net interest (x)		1356.6		
Net debt/equity	-21.3	-18.1	-22.7	-26.5
Net debt/EBITDA (x)	-0.6	-0.5	-0.6	-0.7
CF from operations/net debt				
Per share data (CNY)				
EPS reported (diluted)	3.57	3.67	4.48	5.28
HSBC EPS (diluted)	3.57	3.67	4.48	5.28
DPS	2.10	2.16	2.64	3.11
Book value	14.39	15.90	17.74	19.92

Valuation data: 3606 HK

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	2.9	2.7	2.3	1.9
EV/EBITDA	10.0	9.0	7.5	6.4
EV/IC	4.7	4.1	3.8	3.5
PE*	13.4	13.0	10.7	9.1
PB	3.3	3.0	2.7	2.4
FCF yield (%)	4.3	3.6	6.2	7.3
Dividend yield (%)	4.4	4.5	5.5	6.5

* Based on HSBC EPS (diluted)

Valuation data: 600660 CH

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	2.9	2.7	2.3	1.9
EV/EBITDA	10.0	9.0	7.5	6.4
EV/IC	4.7	4.1	3.8	3.5
PE*	15.4	15.0	12.3	10.4
PB	3.8	3.5	3.1	2.8
FCF yield (%)	4.3	3.6	6.2	7.3
Dividend yield (%)	3.8	3.9	4.8	5.7

* Based on HSBC EPS (diluted)

ESG metrics

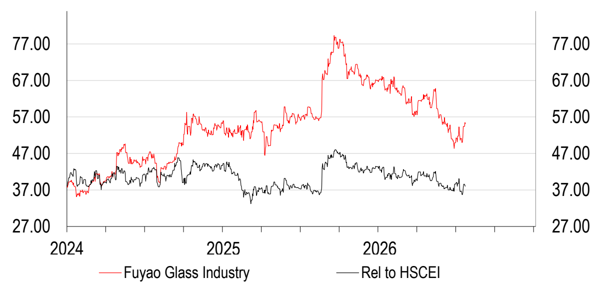
Environmental Indicators	12/2025a
GHG emission intensity*	413.3
Energy intensity*	1,034.7
CO_2 reduction policy	Yes
Social Indicators	**12/2025a**
Employee costs as % of revenues	[n/a]
Employee turnover (%)	[n/a]
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	11
Average board tenure (years)	10.7
Female board members (%)	36.4
Board members independence (%)	36.4

Source: Company data, HSBC

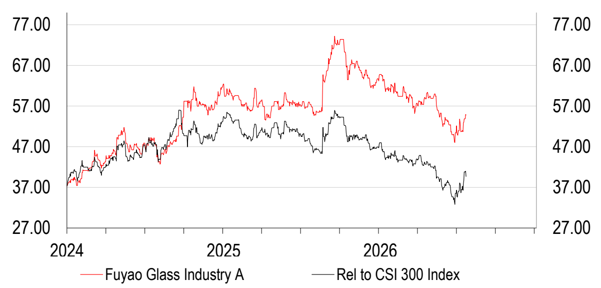
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Price relative: 3606 HK



Source: HSBC

Price relative: 600660 CH

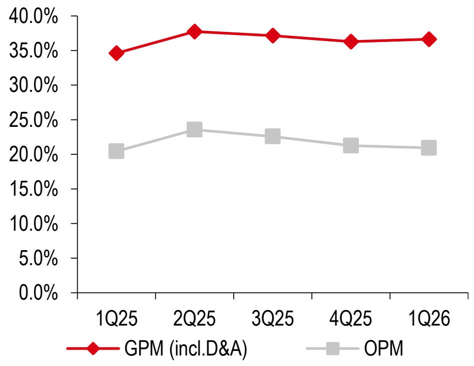


Source: HSBC

Note: Priced at close of 20 Jul 2026

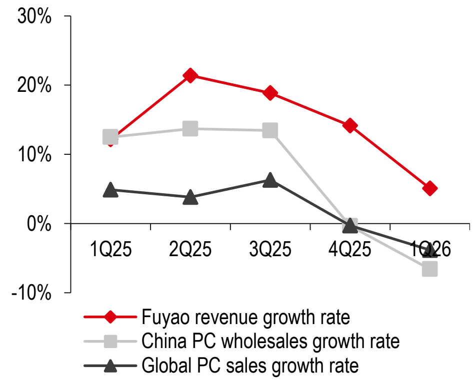
Key charts

Exhibit 1. Resilient GPM and OPM performance during past quarters



Source: Company data, HSBC

Exhibit 2. Fuyao's revenue growth has been defensive against China and Global PC sales volatility, thanks to its ASP expansion and overseas market share gain



Source: Rho Motion, Company data, HSBC

Estimate changes

We lower our earnings estimates

We cut our earnings estimates by 16% for 2026 and 13% for 2027, mainly because:

- We lower 2026-27e revenue estimates by 12% and 14% due to the weak domestic auto sales, but partly offset by Fuyao's ASP expansion and overseas market share gains.
- We raise GPM (incl. D&A) by 0.3ppt and 0.9ppt, on continued improved execution and stabilised soda ash pricing.
- We raise operating expense (SG&A and R&D) ratio estimates by 0.6ppt for 2026e and 0.2ppt for 2026e, on new factory ramping-up impact.

We introduce our 2028 forecasts in this report. Our 2026e estimates are behind Bloomberg consensus considering FX loss impact this year. Our 2027-28e earnings estimates are above Bloomberg by 3% on average, as we are more positive on its margin sustainability and its overseas expansion potential.

Exhibit 3. Estimate changes

	New			Old			Change		
(RMBm)	**2026e**	**2027e**	**2028e**	**2026e**	**2027e**	**2028e**	**2026e**	**2027e**	**2028e**
Revenue	49,492	56,459	65,559	55,945	65,293	NA	-12%	-14%	NA
Gross profit (incl. D&A)	18,629	21,602	25,063	20,891	24,423	NA	-11%	-12%	NA
GPM (incl. D&A)	37.6%	38.3%	38.2%	37.3%	37.4%	NA	+0.3ppt	+0.9ppt	NA
Operating expense ratio	15.0%	14.5%	14.5%	14.4%	14.3%	NA	+0.6ppt	+0.2ppt	NA
Net profit	9,581	11,689	13,781	11,428	13,362	NA	-16%	-13%	NA
EPS (RMB)	3.67	4.48	5.28	4.38	5.12	NA	-16%	-13%	NA

Source: HSBC estimates

Exhibit 4. HSBC estimates vs Bloomberg consensus

	HSBC estimates			Consensus			Difference		
(RMBm)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	49,492	56,459	65,559	52,083	60,021	67,893	-5%	-6%	-3%
Net profit	9,581	11,689	13,781	10,103	11,589	12,980	-5%	1%	6%

Source: Bloomberg, HSBC estimates

Valuation and risks

Maintain Buy ratings with lower target prices

We continue to use a DCF model to value Fuyao and lower our target prices, mainly due to lower earnings estimates and revised WACC assumptions. We now apply a WACC of 7.9% (from 7.0%), based on a risk-free rate of 4.25% (unchanged), a market premium of 4.75% (unchanged), and beta coefficient of 0.9 (from 0.8). Applying an H/A share valuation discount of 90% (unchanged), the latest HSBC end-2026 RMB-HKD FX forecast of 1.17 (previously end-2025 RMB-HKD FX rate of 1.10), and a perpetual growth rate of 2.5% (unchanged; see Exhibit 6), we derive our new target prices of RMB83.30 (previously RMB92.20) for the A shares and HKD87.40 (previously HKD91.20) for the H shares, which imply c52% and c58% upside, respectively. We maintain our Buy ratings for the A/H shares.

Exhibit 5. DCF valuation assumptions – cash flow

(RMBm)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e
EBIT	11,205	13,416	15,557	16,392	16,949	17,526	18,118	18,422	18,732	19,047
Tax rate	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Tax-effected EBIT	9,353	11,198	12,985	13,682	14,148	14,629	15,123	15,377	15,636	15,899
Plus: DD&A	3,490	3,780	3,998	4,210	4,412	4,622	4,845	5,077	5,315	5,561
Less: Capex	(6,731)	(4,517)	(4,261)	(4,268)	(4,183)	(4,309)	(4,438)	(4,527)	(4,617)	(4,710)
+/- Working capital changes	(1,308)	(2,212)	(3,264)	(1,808)	(1,524)	(1,595)	(1,669)	(1,700)	(3,827)	(1,417)
Free cash flow	**4,805**	**8,250**	**9,458**	**11,817**	**12,853**	**13,348**	**13,861**	**14,228**	**12,507**	**15,333**
Terminal value										290,292
Total free cash flow	**4,805**	**8,250**	**9,458**	**11,817**	**12,853**	**13,348**	**13,861**	**14,228**	**12,507**	**305,625**

Source: HSBC estimates

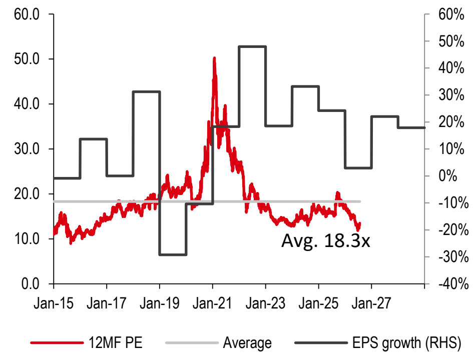
Exhibit 6. DCF valuation assumptions

WACC	2026e
Risk-free rate	4.25%
China stock market premium	4.75%
Beta coefficient	0.9
Cost of equity	8.5%
Cost of debt (average 2026-28e)	5.3%
Tax rate (average 2026-28e)	16.5%
After-tax cost of debt	4.45%
Long-term debt-to-equity ratio	15.0%
WACC	**7.9%**
Perpetual growth rate	2.50%

Perpetual growth method		
Terminal value	RMBm	290,292
Enterprise Value	RMBm	209,876
LESS: Net debt (2026e)	RMBm	(7,492)
LESS: Minority interest (2026e)	RMBm	(9)
Equity value	RMBm	217,377
Share count	M	2,610
Target price – A shares	**RMB**	**83.30**
FX rate: RMB-HKD		1.17
Discount H to A		90%
Target price – H-shares	**HKD**	**87.40**

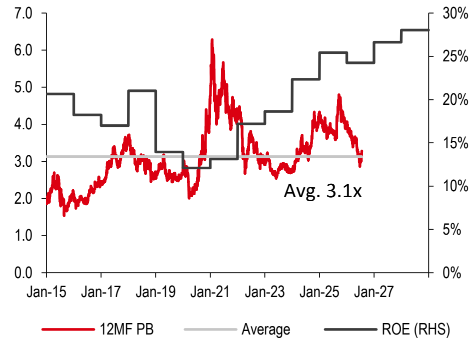
Source: HSBC estimates

Exhibit 7. Fuyao-A trades at 13.5x 12-month forward P/E vs its historical average of 18.3x



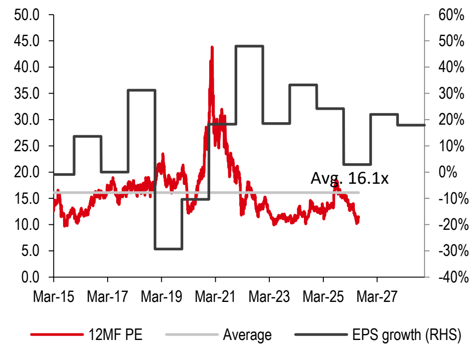
Source: Bloomberg, HSBC estimates

Exhibit 8. Fuyao-A trades at 3.3x 12-month forward P/B vs its historical average of 3.1x



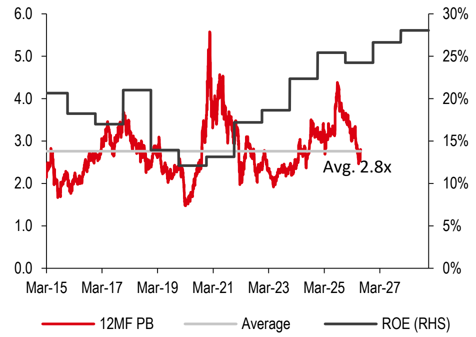
Source: Bloomberg, HSBC estimates

Exhibit 9. Fuyao-H trades at 11.5x 12-month forward P/E vs its historical average of 16.1x



Source: Bloomberg, HSBC estimates

Exhibit 10. Fuyao-H trades at 2.8x 12-month forward P/B vs its historical average of 2.8x



Source: Bloomberg, HSBC estimates

Potential share price catalysts and downside risks

Potential share price catalysts

- **Domestic auto demand picking up into the 2H26 high season**, boosting the volume growth of auto glass.
- **Potential tailwinds in raw material costs,** which likely improve its margins.
- **Solid 3Q26e/4Q26e results with continued evidence of margin defence, and confirmation of falling capex.**
- **Strong overseas expansion, especially in the EU and US.**
- **Marginally more disciplined downstream pricing strategies**, which likely ease the company's pricing pressure and, therefore, improve revenue.
- **Increasing orders for value-added products** could contribute to Fuyao's ASP and revenue and improve profitability.
- **Margin improvement on higher overseas utilisation rate** – the expansion of overseas orders is likely to raise the US factory utilisation rate and improve margins.

Downside risks

- **Slower-than-expected auto demand recovery** and longer-than-expected macro weakness globally may hurt consumer confidence and adversely impact auto demand, as well as auto glass volumes.
- **Worse-than-expected raw material and energy price normalisation**, which may put pressure on Fuyao's margins and earnings.
- **Slower-than-expected high value-added product mix and overseas EV penetration**, which may limit revenue and earnings growth.
- **Potential overseas operation risks**, which may weigh on the timeline for global expansion and, as such, impact the company's revenue and margin growth outlook.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yuqian Ding

Important disclosures

Equities: Stock ratings and basis for financial analysis

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

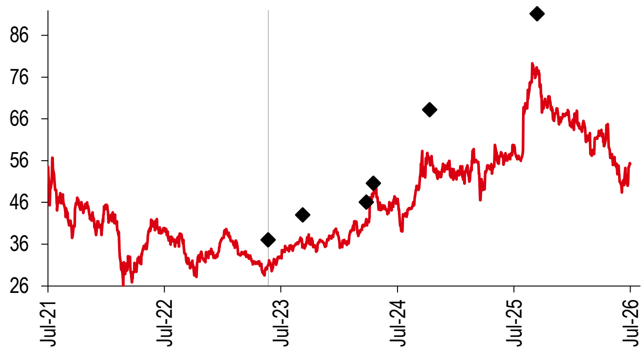
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Fuyao Glass Industry (3606.HK) share price performance HKD Vs HSBC rating history



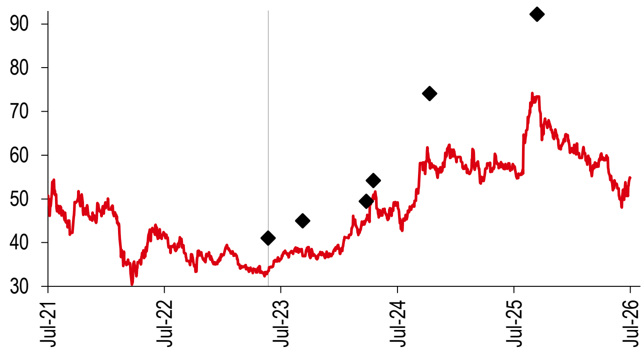
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	12 Jun 2023	Yuqian Ding
Target price	**Value**	**Date**	**Analyst**
Price 1	37.00	12 Jun 2023	Yuqian Ding
Price 2	43.00	28 Sep 2023	Yuqian Ding
Price 3	46.10	15 Apr 2024	Yuqian Ding
Price 4	50.60	07 May 2024	Yuqian Ding
Price 5	68.20	30 Oct 2024	Yuqian Ding
Price 6	91.20	02 Oct 2025	Yuqian Ding

Source: HSBC

Fuyao Glass Industry A (600660.SS) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	12 Jun 2023	Yuqian Ding
Target price	**Value**	**Date**	**Analyst**
Price 1	41.00	12 Jun 2023	Yuqian Ding
Price 2	45.00	28 Sep 2023	Yuqian Ding
Price 3	49.40	15 Apr 2024	Yuqian Ding
Price 4	54.20	07 May 2024	Yuqian Ding
Price 5	74.10	30 Oct 2024	Yuqian Ding
Price 6	92.20	02 Oct 2025	Yuqian Ding

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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All other clients: *www.research.hsbc.com/A/Disclosures*

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
FUYAO GLASS INDUSTRY	3606.HK	55.15	21 Jul 2026	4, 7
FUYAO GLASS INDUSTRY A	600660.SS	54.80	21 Jul 2026	4, 7

Source: HSBC

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